Table 6.6 (Continued)

Traditional Finance Problem	dYdX Solution
Limited access: Difficulty in accessing high yield USD investment opportunities or competitive borrowing as well as futures and derivative products. Access to capital for immediately profitable enterprises is limited.	Open ability to borrow or lend any supported assets at competitive algorithmically determined rates. Includes a perpetual futures contract that could synthetically support any asset. Free flash loans give developers access to large amounts of capital to capitalize on arbitrage or other profitable opportunities.
Inefficiency: Suboptimal rates for borrowing and lending due to inflated costs.	Algorithmically pooled and optimized interest rates. Free flash loans offered for immediate use cases.
Lack of interoperability: Difficult to repurpose funds within a financial instrument.	Flash loans can immediately utilize the entirety of the AUM for outside opportunities without risk or loss to investors.
Opacity: Unclear collateralization of lending institutions.	Transparent collateralization ratios of borrowers are visible to the entire ecosystem.